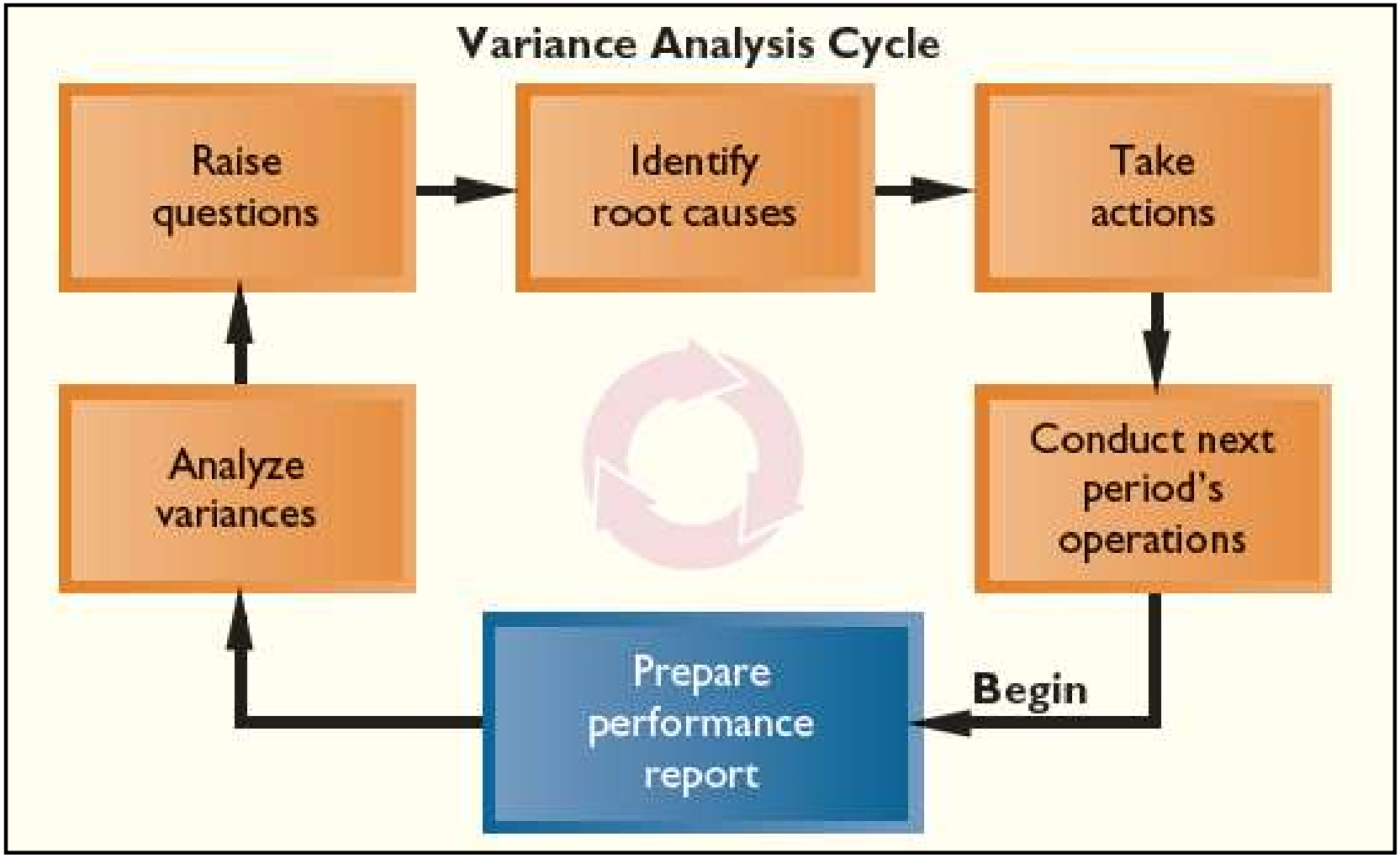
ACCT102 Management Accounting

Week 11

Flexible Budget

Adapted from © McGraw-Hill Education for ACCT102 (BT)

Variance Analysis Cycle



Static Planning Budgets

- Planning budgets are prepared for **a single, planned level of activity.**
- A planning budget is prepared before the period begins and is valid for only the planned level of activity.
- If the actual level of activity differs from what was planned, performance evaluation is difficult. It would be misleading to evaluate performance by comparing actual costs to the static, unchanged planning budget.
  - Comparing apples with oranges

Illustration

	Budget	**Actual**
Units sold	100	120
Revenue	$10,000	$13,000
Expenses	$5,000	$7,000

Actual expenses are higher, does this mean the manager did a poor job?

How much of the cost variances is due to higher activity, and how much is due to cost control?

Learning Objective

Prepare a flexible budget.

Flexible Budget

- We must ***FLEX*** the budget to the actual level of activity to compare apples with apples.
  1. May be prepared for any activity level in the **relevant range**.
  2. Show costs that should have been **incurred at the actual level of activity.**

- To flex a budget, we need to recall the cost behavior concepts.
  - Total variable costs change in direct proportion to changes in activity.
  - Total fixed costs remain unchanged within the relevant range.

- Using flexible budget instead of static budgets will improve performance evaluation and help managers control costs.

Example – Larry's Lawn Service

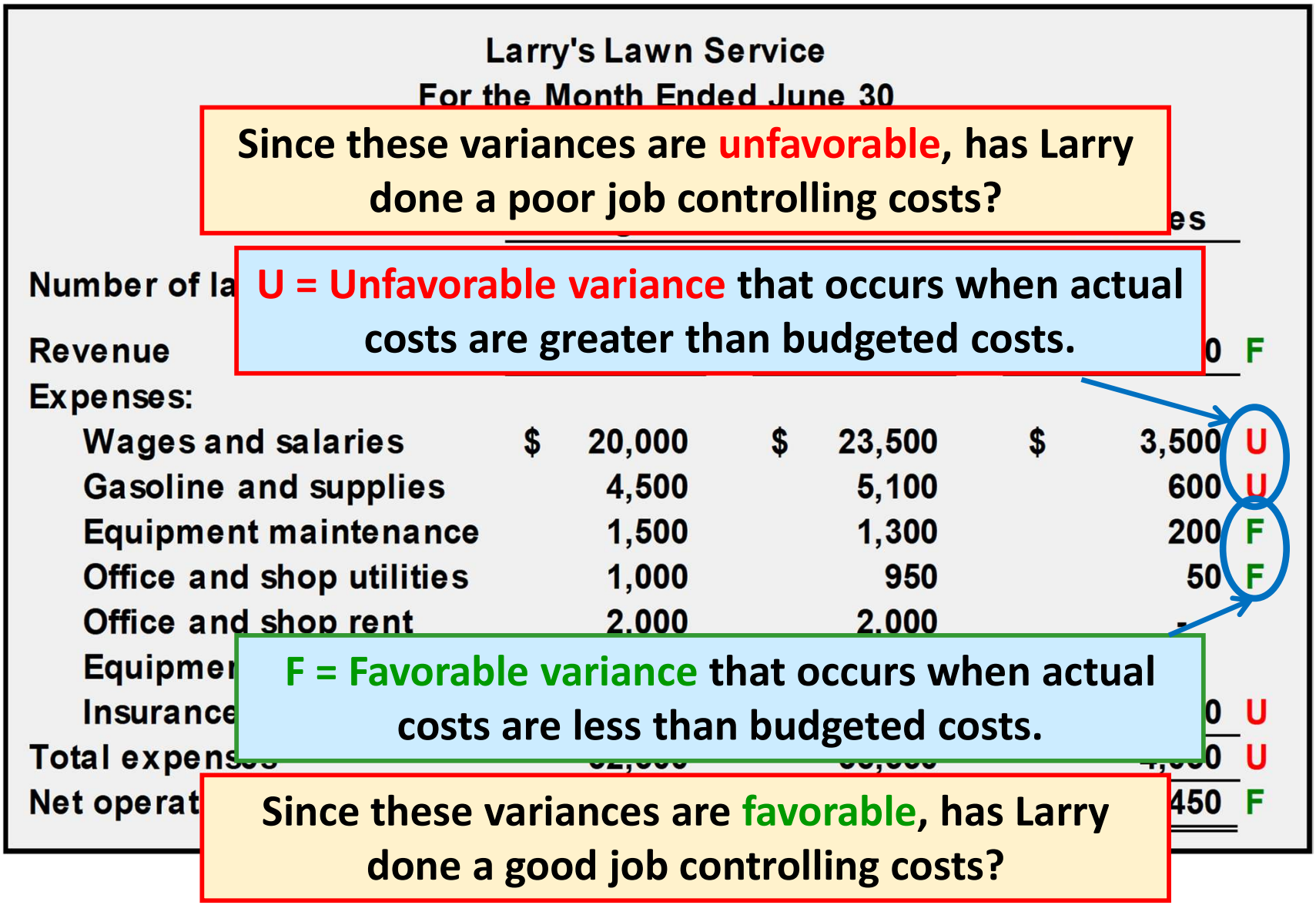
- Larry's Lawn Service provides lawn care in a planned community where all lawns are approximately the same size.
- At the end of May, Larry prepared his June budget based on mowing 500 lawns.
- Since all of the lawns are similar in size, Larry felt that the number of lawns mowed in a month would be the best way to measure overall activity for his business.

Static Budget vs Actual

Larry's Lawn Service
For the Month Ended June 30

	Planning Budget	Actual Results	Variances	
Number of lawns (Q)	500	550		
Revenue	$ 37,500	$ 43,000	$ 5,500	F
Expenses:				
Wages and salaries	$ 20,000	$ 23,500	$ 3,500	U
Gasoline and supplies	4,500	5,100	600	U
Equipment maintenance	1,500	1,300	200	F
Office and shop utilities	1,000	950	50	F
Office and shop rent	2,000	2,000	-	
Equipment Depreciation	2,500	2,500	-	
Insurance	1,000	1,200	200	U
Total expenses	32,500	36,550	4,050	U
Net operating income	$ 5,000	$ 6,450	$ 1,450	F

Static Budget vs Actual – Cost Variance



Preparing a Flexible Budget

1. Determining revenue and cost formulas

Larry's Lawn Service
For the Month Ended June 30

	Revenue/Cost Formulas	Planning Budget
Number of lawns (Q)		500
Revenue	($75Q)	$ 37,500
Expenses:		
Wages and salaries	($5,000 + $30Q)	$ 20,000
Gasoline and supplies	($9Q)	4,500
Equipment maintenance	($3Q)	1,500
Office and shop utilities	($1,000)	1,000
Office and shop rent	($2,000)	2,000
Equipment Depreciation	($2,500)	2,500
Insurance	($1,000)	1,000
Total expenses		32,500
Net operating income		$ 5,000

Preparing a Flexible Budget

2. Flexing the budget to actual activity level

Larry's Lawn Service
For the Month Ended June 30

	Revenue/Cost Formulas	Planning Budget	Flexible Budget
Number of lawns (Q)		500	550
Revenue	($75Q)	$ 37,500	$ 41,250
Expenses:			
Wages and salaries	($5,000 + $30Q)	$ 20,000	$ 21,500
Gasoline and supplies	($9Q)	4,500	4,950
Equipment maintenance	($3Q)	1,500	1,650
Office and shop utilities	($1,000)	1,000	1,000
Office and shop rent	($2,000)	2,000	2,000
Equipment Depreciation	($2,500)	2,500	2,500
Insurance	($1,000)	1,000	1,000
Total expenses		32,500	34,600
Net operating income		$ 5,000	$ 6,650

Quick Check 11A.1

At an actual activity of 600 lawns, What should the total wages and salaries cost be in a **flexible** budget?

a. $18,000

b. $20,000

c. $23,000

d. $25,000

Quick Check 11A.2

At an actual activity of 600 lawns, What should the total office and shop utilities cost be in a **flexible** budget?

a. $900

b. $1,000

c. $1,100

d. $1,200

Learning Objective

Prepare a report showing activity variances.

Activity Variances

Larry's Lawn Service
For the Month Ended June 30

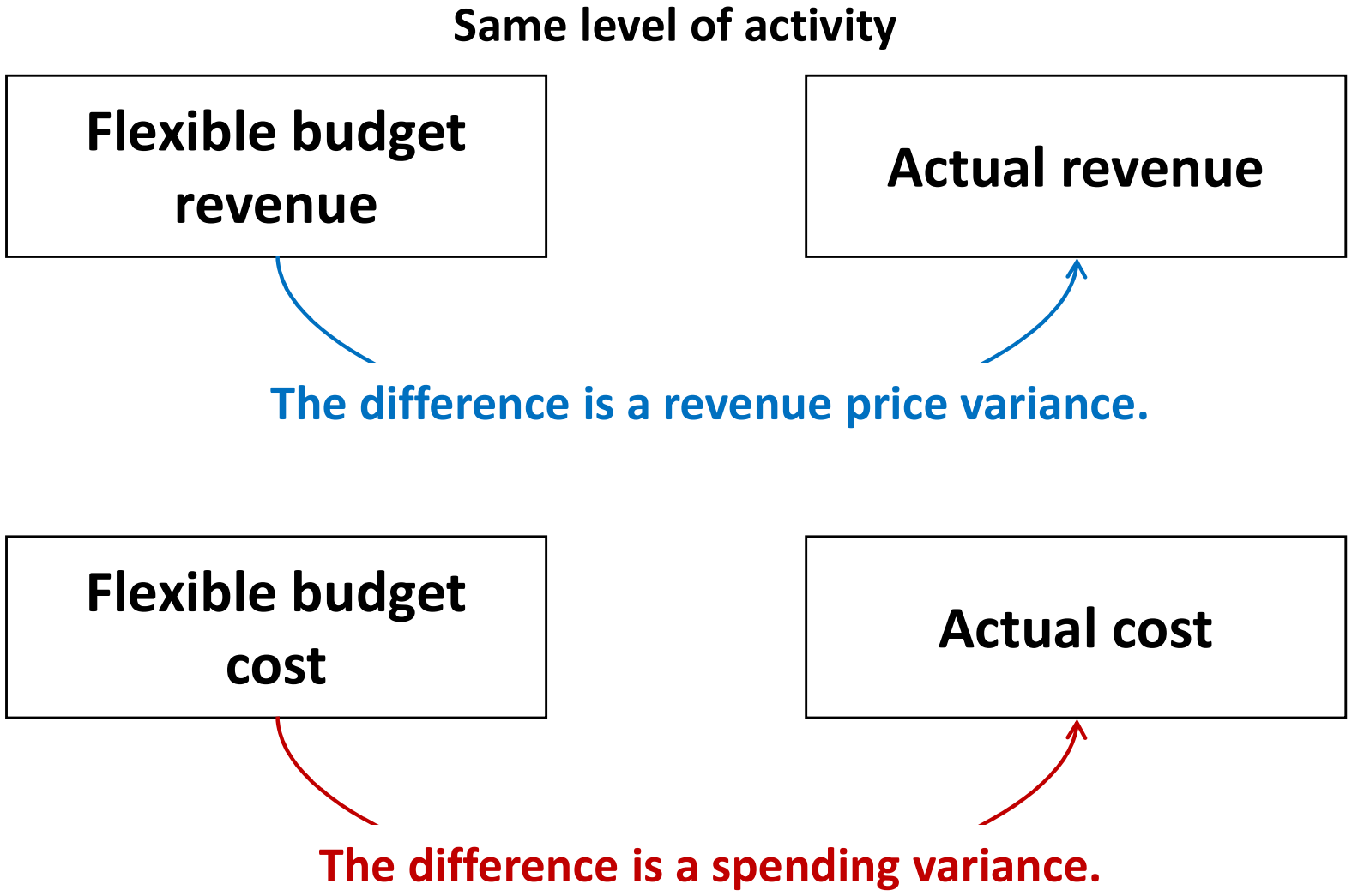
	Revenue/Cost Formulas	Planning Budget	Flexible Budget	Activity Variances	
Number of lawns (Q)		500	550		
Revenue	($75Q)	$ 37,500	$ 41,250	$ 3,750	F
Expenses:					
Wages and salaries	($5,000 + $30Q)	$ 20,000	$ 21,500	$ 1,500	U
Gasoline and supplies	($9Q)	4,500	4,950	450	U
Equipment maintenance	($3Q)	1,500	1,650	150	U
Office and shop utilities	($1,000)	1,000	1,000	-	
Office and shop rent	($2,000)	2,000	2,000	-	
Equipment Depreciation	($2,500)	2,500	2,500	-	
Insurance	($1,000)	1,000	1,000	-	
Total expenses		32,500	34,600	2,100	U
Net operating income		$ 5,000	$ 6,650	$ 1,650	F

Remember to put F / U for all variances.

Learning Objective

Prepare a report showing revenue and spending variances.

Revenue and Spending Variances



Performance Report – Activity/Revenue/Spending Variance

Larry's Lawn Service
Flexible Budget Performance Report
For the Month Ended June 30

	Revenue/Cost Formulas	Planning Budget	Activity Variances	Flexible Budget	Revenue price and Spending Variances	Actual Results
Number of lawns (Q)		500		550		550
Revenue	($75Q)	$ 37,500	$ 3,750 F	$ 41,250	$ 1,750 F	$ 43,000
Expenses:						
Wages and salaries	($5,000 + $30Q)	$ 20,000	$ 1,500 U	$ 21,500	$ 2,000 U	$ 23,500
Gasoline and supplies	($9Q)	4,500	450 U	4,950	150 U	5,100
Equipment maintenance	($3Q)	1,500	150 U	1,650	350 F	1,300
Office and shop utilities	($1,000)	1,000	-	1,000	50 F	950
Office and shop rent	($2,000)	2,000	-	2,000	-	2,000
Equipment Depreciation	($2,500)	2,500	-	2,500	-	2,500
Insurance	($1,000)	1,000	-	1,000	200 U	1,200
Total expenses		32,500	2,100 U	34,600	1,950 U	36,550
Net operating income		$ 5,000	$ 1,650 F	$ 6,650	$ 200 U	$ 6,450

End of topic